Paradiem

The Morning Brief

OCTOBER 13, 2026

Chips Reset

AI chip and interconnect names extend Monday's slide into Tuesday's big-bank earnings open and Wednesday's September CPI print.

S&P 500 (SPY)	NASDAQ (QQQ) / DOW (DIA)	WTI (USO) / BRENT (BNO)	IBIT / ETHA	FEAR & GREED
$778.10 ↓0.06%	$746.04 ↓0.70% / $517.91 ↑0.35%	$151.03 ↑1.91% / $65.12 ↑1.77%	$46.86 ↑0.67% / $56.95 ↑1.71%	57 · Crypto fallback (6th session)

SECTION 01

Markets — Columbus Day Open Resolves With a Tech-Led Narrow Loss and a Dow That Printed a Reported Gain as Chip-and-Interconnect Names Reset Into Tuesday's JPMorgan, Citigroup, Goldman Sachs, and Johnson & Johnson Pre-Market Prints and Wednesday's September CPI Release

MONDAY'S THIN COLUMBUS DAY SESSION CLOSED WITH A REPORTED DISPERSION BETWEEN THE DOW AND THE NASDAQ AS THE AI-CHIP-AND-INTERCONNECT SLEEVE ABSORBED A REPORTED FRESH ROUND OF CHINA-COMPETITION AND AI-FUNDING COMMENTARY PER YAHOO COVERAGE CARRIED IN DATA DROP HOLDINGS NEWS FOR AMD; THE DOW PRINTED A REPORTED MODEST GAIN ON ENERGY, STAPLES, AND DEFENSIVE LEADERSHIP WHILE THE NASDAQ DECLINED ON A REPORTED SEMICONDUCTOR-AND-INTERCONNECT RESET; TUESDAY OPENS WITH REPORTED JPMORGAN, CITIGROUP, GOLDMAN SACHS, JOHNSON & JOHNSON, AND DOMINO'S PRE-MARKET EARNINGS AND REPORTEDLY NASDAQ-FUTURES WEAKNESS PER YAHOO COVERAGE

Per data drop, Monday closed with SPY at $778.10 (↓0.06%, intraday range $777.05–$779.40), DIA at $517.91 (↑0.35%), QQQ at $746.04 (↓0.70%), the Russell 2000 at $277.90 (↓0.37%), and UVXY at $15.98 (↓2.08%) — a composition that reportedly separated the industrial-and-value sleeve from the long-duration technology complex on a session with the U.S. bond cash market closed for Columbus Day per prior SIFMA and financecalendar.com coverage. Per data drop, TLT closed at $78.05 (↑0.09%) — an ETF-only read in the absence of a cash-Treasury session, and the operative anchor for duration into Tuesday's full-liquidity open. Per data drop sector detail, energy (XLE) led at ↑1.43%, staples (XLP) at ↑1.17%, communication services (XLC) at ↑0.97%, and real estate (XLRE) at ↑0.74%, while technology (XLK) lagged at ↓1.22% and consumer discretionary (XLY) at ↓0.51% — a reported leadership rotation that pairs the Mideast-risk-anchored energy complex with defensive income-and-staples sleeves and reads through the FCI dividend sleeve (ABT, CL, ATO, GPC, CAT, GD). Per Yahoo coverage carried in data drop holdings news for NVDA, one piece reportedly framed Nasdaq futures as reportedly sinking into Tuesday's premarket while the Dow reportedly rose on big-bank-earnings positioning — a reported setup consistent with Monday's intraday dispersion and the reported JPMorgan ($5.92 consensus EPS per data drop), Citigroup ($2.73 EPS), Goldman Sachs ($15.05 EPS), and Johnson & Johnson ($2.59 EPS) pre-market cadence into the September CPI print scheduled Wednesday October 14 at 8:30 AM ET per the BLS release calendar.

S&P 500 (SPY)	$778.10 ↓0.06% · Range $777.05–$779.40
NASDAQ (QQQ) / DOW (DIA)	$746.04 ↓0.70% / $517.91 ↑0.35%
RUSSELL 2K / UVXY	$277.90 ↓0.37% / $15.98 ↓2.08%
TLT (20Y BOND, ETF ONLY MON)	$78.05 ↑0.09% · Cash Treasury returns today
SECTOR LEADERS (MON)	XLE ↑1.43% / XLP ↑1.17% / XLC ↑0.97% / XLRE ↑0.74%
SECTOR LAGGARDS (MON)	XLK ↓1.22% / XLY ↓0.51% / XLI ↓0.06%
WTI (USO) / BRENT (BNO)	$151.03 ↑1.91% / $65.12 ↑1.77%
GOLD (GLD) / SILVER (SLV)	$382.15 ↓0.63% / $54.35 ↓0.79%
IBIT / ETHA	$46.86 ↑0.67% / $56.95 ↑1.71%
TODAY'S PRE-MKT EARNINGS	JPM $5.92 · C $2.73 · GS $15.05 · JNJ $2.59 (consensus per data drop)
CARSON'S ACTIVE SPY SUPPORT	$645.80 retracement target · Untouched (Mon low $777.05)

THE SEMICONDUCTOR-AND-INTERCONNECT SLEEVE CARRIED THE REPORTED MONDAY LOSS WITH CRDO PRINTING A REPORTED SINGLE-SESSION MOVE APPROACHING 7.3% TO THE DOWNSIDE DESPITE ITS REPORTED SRMO STANDARDIZATION ANNOUNCEMENT FOR AI DATA-CENTER SCALE-UP AND SCALE-OUT APPLICATIONS CARRIED IN DATA DROP HOLDINGS NEWS; MRVL, LRCX, TSM, AMD, NVDA, NXPI, AND KEYS ALL CLOSED LOWER; THE NUCLEAR-GENERATION SLEEVE ALSO SOFTENED AS CEG AND VST PRINTED MODERATE LOSSES EVEN AS HUT HELD REPORTED GAINS — A DISPERSION PATTERN THAT READS INTO WEDNESDAY'S ASML Q3 PRINT AND THURSDAY'S TSMC Q3 REPORT AS THE FIRST HIGH-SIGNAL FOUNDRY-AND-LITHO-CHANNEL CONFIRMATION SINCE THE SEPTEMBER RESET

Per data drop, Monday's bottom FCI movers printed CRDO $200.84 (↓7.25%), HRMY $38.23 (↓5.09%), SOFI $15.23 (↓3.61%), MRVL $265.86 (↓3.42%), and LRCX $309.56 (↓2.91%). Per data drop holdings news for CRDO, one Credo release reportedly framed the SRMO (Short-Reach Micro-Emitter Optics) standardization push for AI data-center scale-up and scale-out applications — a reported product-channel signal that reportedly did not offset the broader AI-funding-and-China-competition narrative described in a separate Yahoo piece on AMD, MU, INTC, SNDK, and SKHY carried in data drop holdings news for AMD. Per data drop, the broader semiconductor-and-interconnect sleeve closed with AMD $594.24 (↓2.28%), TSM $444.35 (↓1.98%), KEYS $377.70 (↓1.32%), NVDA $226.32 (↓1.29%), NXPI $225.21 (↓1.02%), and ADI $406.25 (↑0.01%) — a near-complete leg lower consistent with the reported Nasdaq-futures weakness Yahoo described into Tuesday's pre-market. Per data drop, the physical-AI-power sleeve closed with CEG $293.89 (↓1.40%), VST $158.13 (↓2.07%), NEE $78.51 (↑1.46%), EIX $55.64 (↑0.61%), and HUT $85.24 (↑1.15%) — a reported dispersion within the merchant-nuclear-and-utility complex that reads against the Google-Constellation 3.6 GW nuclear deal described in data drop holdings news for CEG and VST. For FCI positioning, the composition keeps AMD, NVDA, MRVL, TSM, CRDO, LRCX, KEYS, NXPI, ADI, and the physical-AI-power sleeve reading through Wednesday's ASML print and Thursday's TSMC print as the principal foundry-channel confirmation window.

THE REPORTED FCI DIVIDEND-AND-VALUE SLEEVE CARRIED MONDAY'S LEADERSHIP AS THE ENERGY COMPLEX, CONSUMER STAPLES, AND DEFENSIVES EXTENDED THEIR REPORTED BID ON A SESSION REPORTEDLY ANCHORED BY WTI GAINING APPROXIMATELY 1.9% AND BRENT APPROXIMATELY 1.8% PER DATA DROP; OKE, ABT, CVX, CL, GPC, SYK, SPGI, AND GD ALL CLOSED HIGHER — A COMPOSITION THAT READS THROUGH THE REPORTED MIDEAST RISK PREMIUM CARRIED BY THE HOUTHI-AIRPORT-STRIKE SERIES AND THE FCI AMEX DIVIDEND-PLUS-DEFENSE FRAMING DESCRIBED IN PRIOR BRIEFS

Per data drop, Monday's top FCI movers printed OKE $92.02 (↑2.47%), ABT $101.82 (↑2.23%), GPC $129.62 (↑2.05%), CL $89.98 (↑1.94%), and SYK $282.60 (↑1.90%) — a reported leadership rotation that pairs midstream-energy (OKE), consumer-staples-and-personal-care (CL, GPC), and healthcare (ABT, SYK) alongside the FCI defense-and-aerospace sleeve where LMT closed at $511.88 (↑0.45%) and GD at $335.46 (↑1.26%). Per data drop holdings news for CL, one Yahoo piece reportedly framed Saudi Arabia as reportedly set to boost pipeline crude export capacity to approximately 10 million barrels per day — a reported supply-and-logistics signal reading alongside Monday's reported energy complex strength (WTI $151.03 ↑1.91%, Brent $65.12 ↑1.77%). Per data drop holdings news for CVX, Yahoo coverage reportedly framed the Dow's mixed-trade outperformance and Nasdaq decline alongside Lumentum's reported slide — a reported capital-markets-dispersion signal that reads through Tuesday's big-bank earnings calendar and today's September-CPI setup. Per data drop sentiment, the Monday Fear & Greed value of 57 ("Greed") reportedly carries the (Crypto) fallback label for the sixth consecutive session, with IBIT at $46.86 (↑0.67%) and ETHA at $56.95 (↑1.71%) — the recurring

CNN-stock-market-endpoint fallback is now a reported data-feed quality flag worth tracking into tomorrow's drop as the committee should continue to read the headline value as a digital-asset sentiment check rather than a broad-market reading.

A Monday tape that paired a reported chip-and-interconnect reset with a reported energy-and-defensive bid frames a Tuesday setup where research reveals opportunities and think like an owner tend to serve better than compositing a single directional view through pre-market bank-earnings dispersion. **Avoid erosion.**

SECTION 02

Geopolitics — Saudi Warning System Reportedly Stayed Silent Before Deadly Airport Attacks per Reuters, Qatar Airways Reportedly Suspends Riyadh and Dammam Flights, and Oil Falls as Russian Diesel Supply Prospects Reportedly Counter Gulf Supply Risks; Trump Reportedly Says He Does Not Believe China and Russia Are Helping Iran, and Visa Reportedly Gets China Domestic-Business Approval

THE REPORTED SAUDI AIRPORT-STRIKE SERIES EXTENDED INTO MONDAY AS REPORTED REUTERS COVERAGE CARRIED IN DATA DROP HEADLINES FLAGGED THAT THE SAUDI WARNING SYSTEM REPORTEDLY STAYED SILENT BEFORE THE DEADLY AIRPORT ATTACKS AND QATAR AIRWAYS REPORTEDLY SUSPENDED RIYADH AND DAMMAM FLIGHTS, WITH THE AIR-TRAVEL DISRUPTION REPORTEDLY COMPOUNDING THE MIDEAST RISK PREMIUM; A SEPARATE REUTERS PIECE REPORTEDLY FRAMED OIL AS REPORTEDLY FALLING ON RUSSIAN DIESEL SUPPLY PROSPECTS EVEN AS MONDAY'S CRUDE TAPE PRINTED WTI UP A REPORTED 1.91% AND BRENT UP A REPORTED 1.77% PER DATA DROP — A REPORTED TWO-CHANNEL ENERGY SIGNAL THAT READS THROUGH THE FCI ENERGY SLEEVE (CVX, CNX, OKE) INTO TUESDAY'S PRE-MARKET OPEN; SEPARATELY, VISA REPORTEDLY RECEIVED APPROVAL TO PREPARE FOR DOMESTIC BUSINESS IN CHINA PER REUTERS

Per data drop headlines, one Reuters piece reportedly framed the Saudi warning system as reportedly staying silent before the reported deadly airport attacks — a reported infrastructure-and-defense-protocol signal that reads through the broader air-travel-disruption layer. Per data drop headlines, a separate Reuters piece reportedly framed Qatar Airways as reportedly suspending Riyadh and Dammam flights as the reported airport attacks disrupt air travel — a reported commercial-aviation signal that reads alongside the prior-brief EASA airspace advisory and OPSGROUP do-not-fly recommendation covered in weekend reporting. Per data drop headlines, a Reuters piece reportedly framed oil as reportedly falling on Russian diesel supply prospects reportedly countering the Gulf supply risk layer — a reported counter-channel signal that reads against the Monday price action in WTI (USO $151.03 ↑1.91%) and Brent (BNO $65.12 ↑1.77%); the dispersion between the futures tape and the headline framing is worth tracking into Wednesday's API/EIA inventory window. Per data drop headlines, a Reuters piece reportedly framed President Trump as reportedly saying he does not believe China and Russia are helping Iran at all — a reported political-posture signal that reads against the prior-brief U.S. CENTCOM vessel-disablement enforcement action in the Strait of Hormuz and the reported Trump-announced Ukraine energy ceasefire with Russia carried in weekend reporting. Per data drop headlines, a Reuters piece reportedly framed Visa as reportedly getting approval to prepare for domestic business in China — a reported capital-markets access signal reading alongside the IMF's reported characterization that AI investment props up global growth while war and debt threaten the outlook. For FCI positioning, the composition keeps the energy-and-defense complex (CVX, OKE, CNX, FCX, LMT, GD) and the midstream-and-staples sleeve (OKE, ABT, CL, GPC, SYK) reading through today's big-bank earnings cadence as the weekly beneficiaries of a reportedly sustained Mideast risk premium even on a session with crude price action running counter to the Russian-diesel-supply headline.

SECTION 03

On Our Radar

1. Today's Pre-Market Earnings Cadence — Per data drop earnings schedule, JPMorgan (JPM, consensus EPS $5.92), Citigroup (C, $2.73), Goldman Sachs (GS, $15.05), Johnson & Johnson (JNJ, $2.59), Domino's (DPZ, $4.41), and FB Financial (FBK, $1.21) report pre-market Tuesday October 13; per Yahoo coverage carried in data drop holdings news for NVDA, Nasdaq futures reportedly sank into premarket while the Dow reportedly rose on bank-earnings positioning; the reported sequence frames the first high-signal credit-and-capital-markets read into the October 27–28 FOMC window. Per data drop, Monday closed with the FCI financials sleeve mixed as SPGI printed $412.19 (↑1.07%), SYF $73.62 (↑1.13%), and SSNC $80.99 (↓0.05%) alongside the reported SOFI $15.23 (↓3.61%) and HOOD $109.22 (↑0.18%) dispersion — a reported setup consistent with the big-bank-print cadence that reportedly carries through to Wells Fargo (WFC) and the broader money-center-and-regional sequence Tuesday-Wednesday per prior-brief coverage. Per data drop holdings news for HOOD, one Yahoo piece reportedly framed analysts raising targets on Securitize, Coinbase, and Robinhood while BofA reportedly cut eToro — a reported capital-markets-flow signal reading through the FCI retail-and-digital-platform sleeve. For FCI positioning, Tuesday's print reads through the credit-provisioning channel for SPGI, SSNC, SYF, SOFI, HOOD, NWG, and ORI, with the reported trading-income print at Goldman Sachs reportedly framing the capital-markets layer; the committee should read the four largest banks and Johnson & Johnson together as the principal Tuesday catalyst into Wednesday's September CPI print.

2. September CPI Lands Wednesday — Per the BLS schedule page confirmed via BLS CPI homepage coverage, the Consumer Price Index for September 2026 is scheduled for Wednesday October 14, 2026 at 8:30 AM ET, with Real Earnings for September also at the same time and the September Producer Price Index following Thursday October 15 at 8:30 AM ET; the reported print is the first inflation read since the reportedly hawkish September 15–16 FOMC minutes and the principal input repricing hike-versus-hold odds for the October 27–28 meeting. Per prior CME FedWatch and Kalshi coverage carried in prior briefs, reported hike-at-October-meeting odds reportedly ranged near approximately 15–25% into the weekend with prediction-market dispersion wide; the committee should read Wednesday's print alongside Wednesday's ASML Q3 report and Thursday's TSMC Q3 report as the three high-signal data points before the FOMC decision. Per data drop, Monday's rate-sensitive sleeves held relatively steady on an ETF-only read with TLT at $78.05 (↑0.09%) and the long-duration equity complex (REITs, utilities) printing dispersion as XLRE closed ↑0.74% and XLU ↑0.53% — a composition that reads into today's full-liquidity cash-Treasury session as the operative macro signal. For FCI positioning, the composition keeps the duration-sensitive sleeves (NEE, EIX, ATO, TOL, SPGI, ADP) and the broader credit-and-capital-markets channel reading through the CPI print as the principal catalyst risk into the October 27–28 FOMC window.

3. ASML Wednesday and TSMC Thursday — The AI-foundry-and-litho channel reads through reported ASML Wednesday October 14 pre-market and reported TSMC Thursday October 15 at 14:00 Taipei time per the TSMC investor-relations page confirmed in prior-brief coverage; Monday's reported chip-and-interconnect reset (AMD ↓2.28%, CRDO ↓7.25%, MRVL ↓3.42%, TSM ↓1.98%, LRCX ↓2.91%, NVDA ↓1.29%, NXPI ↓1.02%, KEYS ↓1.32%) frames the two prints as reportedly the first high-signal foundry-channel confirmation since the September reset. Per prior TrendForce coverage carried in prior briefs, ASML had reportedly raised its 2026 annual sales guidance to approximately €43–45 billion with gross margins near 54–56%, with Taiwan reportedly climbing to approximately 30% of sales. Per data drop holdings news for TSM, one Yahoo piece reportedly framed TSMC's Q3 report as reportedly carrying 65% profit growth with net margin reportedly seen slipping to 50% and reportedly serving as the best early read on Nvidia's next quarter. Per data drop holdings news for CRDO, one Credo release reportedly framed the SRMO (Short-Reach Micro-Emitter Optics) standardization push for AI data-center scale-up and scale-out applications — a reported product-channel signal reading through the FCI interconnect sleeve (CRDO, MRVL, NXPI, ADI, KEYS) even as the reported share-price reaction extended Monday's broader AI-funding-and-China-competition reset. Per data drop holdings news for AMD, one Yahoo piece reportedly framed SNDK, MU, INTC, AMD, and SKHY as reportedly extending the chip-stocks slide on AI-funding concerns and China competition — a reported sector-wide thesis-stress signal that the Wednesday ASML print and Thursday TSMC print reportedly serve as the first high-signal response. For FCI positioning, the composition keeps AMD, NVDA, MRVL, TSM, CRDO, LRCX, KEYS, NXPI, and ADI reading through this week's cadence as the principal tape test since the September reset.

4. Mideast Risk Premium Update — Per data drop headlines, Reuters coverage reportedly flagged that the Saudi warning system reportedly stayed silent before the deadly airport attacks, Qatar Airways reportedly suspended Riyadh and Dammam flights, and oil reportedly fell on Russian diesel supply prospects countering Gulf supply risks even as Monday's crude tape printed WTI ↑1.91% and Brent ↑1.77%; the FCI energy-and-defense complex (CVX, OKE, CNX, FCX, LMT, GD) reads through today's open as the weekly beneficiary of a reportedly sustained risk premium. Per data drop holdings news for LMT, one Yahoo piece reportedly framed Lockheed as reportedly debuting the PAC 3 Edge Interceptor — a reported integrated-air-and-missile-defense product-launch signal that reads through the defense sleeve into a week where the Houthi airport-strike series reportedly extended. Per data drop holdings news for GD, one Benzinga piece reportedly framed the Department of War as reportedly certifying production capacity for a reported second guided-missile destroyer at reported Maine's Bath Iron Works — a reported shipbuilding-and-naval-infrastructure signal reading through the defense sleeve. Per data drop holdings news for CL, one Yahoo piece reportedly framed Saudi Arabia as reportedly set to boost pipeline crude export capacity to approximately 10 million barrels per day — a reported upstream-and-logistics signal reading through the energy sleeve. For FCI positioning, the composition keeps CVX, OKE, CNX, FCX, LMT, GD, and the broader energy-and-defense complex reading through today's big-bank earnings open and tomorrow's CPI print.

5. Carson's Levels — Per levels.json, Carson's active SPY retracement target at $645.80 (set April 13, 2026) remains in the "active" column with no hit date and no hit price recorded; Monday's reported intraday range of $777.05–$779.40 reportedly did not approach any active Carson level; SPY would need to decline a reported approximately 17.0% from Monday's close (or a reported approximately 16.9% from Monday's intraday low) to reach the target — a gap reportedly roughly consistent with the FCI first-tranche deployment reference at approximately –25% from peak; the reported April 2026 resistance zones at $683.70, $685.85, and the $691.90–$693.20 band remain in the "hit" column and have been cleared to the upside; no new active Carson level has reportedly been set since the April 14, 2026 major-resistance-zone hits. Per levels.json, the active support reportedly remains the sole open level in the file. Per data drop, Monday's cash close operates against today's full-liquidity reopen with the big-bank earnings cadence and the September CPI print scheduled Wednesday October 14 at 8:30 AM ET carrying the principal catalyst risk for the FCI first-tranche deployment reference. For FCI positioning, Carson's level reportedly frames a deployment reference rather than a trade signal — the FCI buy-and-hold tranche framework reportedly deploys 70% of reserves at approximately –25% from peak and the remainder at approximately –40%, with no trimming on either side. The committee should read Carson's level as the reference for a sustained drawdown rather than any single-session move, and should read today's open as the first full-liquidity session testing Monday's reported chip-and-interconnect reset and the reported sector dispersion.

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